WHITE PAPER · GCC STRATEGY AND BUILD

# Owning the Capability

A leadership perspective on building a captive Global Capability Center, and on moving to one from a partner-run model

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SUMMARY

Many global businesses reach a point where an offshore engineering or technology capability, run for years through a partner, has outgrown the model that created it. The question stops being how to run the partnership better and becomes whether to own the capability. This paper sets out how that question can be framed, the structural decisions that determine whether a Global Capability Center (GCC) succeeds, how to earn and keep the mandate, how to move without disrupting live work, and how to build a centre that attracts more work over time. It draws on leading this journey for a global industrial technology company, and applies equally to organisations starting without an incumbent partner.

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## The question leaders actually face

Partner-run offshore centres are a sound answer to a particular stage of a business. They bring speed, scale and cost discipline when the capability is new and the demand is uncertain. The difficulty arrives later. After years of working well, the arrangement begins to carry costs that neither side created and neither side can easily fix from inside it.

Leadership teams tend to feel these costs before they can name them. Decisions are taken somewhere they cannot see. Global managers do not know the people doing the work well enough to shape it. The scope of what the centre can take on seems to depend more on the partner’s

ambitions than on the business roadmap. Hiring strong talent is harder than it should be, because the people are guests in someone else’s premises with no identity of their own.

The strategic question is therefore not whether the partner is performing. It is whether the cost of staying in the model, measured in control, visibility, optionality and talent, now exceeds the cost of owning the capability. That is a question about the future shape of the business, and it should be answered against the business roadmap rather than against today’s workload.

> *None of this is a failure of the partner. These are structural limits of a model once a business outgrows it.*

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## The strategic case for ownership

In my experience the case rests on six dimensions. Each can be tested honestly, and a case that cannot answer all six should not proceed.

| DIMENSION | IN A PARTNER-RUN CENTRE | IN AN OWNED GCC |
|---|---|---|
| **Control** | The partner runs the day to day. The business has little leadership on the ground. | The business's own leadership is present and accountable. |
| **Visibility** | A limited view of the activities and decisions inside the partner. | A direct view for global managers, with the same processes they know. |
| **Scope** | Set by the partner's own aspirations. | Set by the business roadmap, including new technologies and product work. |
| **Risk** | Dependence on one partner, with no room to add others. | The option to work with several partners, a risk-mitigation step in its own right. |
| **Talent** | People work as guests in the partner's premises. | A distinct employer identity and workplace that attracts talent. |
| **Certainty** | Exposure to the changing politics of outsourcing, which can be acute for a business headquartered in one country and delivering from another. | Insourced and predictable. The sensitivity is addressed early, before it becomes a live variable. |

Two points deserve emphasis. First, optionality is easy to undervalue. An owned centre does not mean the end of partners. It means the business chooses which partners to use, for what, and on its own terms. Second, the identity of the centre is part of the strategy rather than a by-product of it. A distinct workplace and employer brand changes who is willing to join, and over a multi-year horizon that matters more than most line items in the business case.

# The decisions that shape the model

Before any move begins, four structural calls determine the shape of what follows. They are strategic in the sense that they are expensive to reverse and they set the terms for everything else.

### Where, and in what legal form

Location and zone options should be weighed on their real benefits and trade-offs. In my case the choice of a special economic zone was decisive, because it meant the benefits of the zone would accrue to the business rather than to a partner that had previously enjoyed them. The principle generalises: be clear about who captures the value of each structural choice before making it.

### The commercial structure

The commercial arrangement with the partner should be redrawn so that, for all legal purposes, the partner works with the new entity, while the partner itself sees as little change as possible in how it is engaged and paid. That is a deliberate design goal. A transition that leaves the partner whole preserves goodwill during the move, keeps the option of working with several partners alive, and removes a source of friction at the moment the business can least afford it.

### The institution behind the centre

A new entity needs its financial backbone, its support functions for finance, IT, procurement, facilities and HR, and the leaders to run them. Hiring those leaders early matters more than it appears, because they become the first evidence to global teams that the centre can stand on its own.

### How the change itself is governed

Government approvals and compliance should be run through specialist advisers rather than learned on the job, and the existing partner and chargeback agreements should be redrawn to reflect operation from a GCC. These are the matters that quietly delay programmes, and each deserves an owner from the start.

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# Earning the mandate

A first-of-its-kind move inside an organisation will meet real questions and apprehensions, and it should. The case for ownership has to be built to answer them rather than to bypass them.

In practice this means a multi-year growth roadmap tied to the growth of the global business, with the financial benefits, the risks and the effect on existing service agreements all set out. It means identifying everyone who has to be convinced and meeting each concern directly. That group typically spans global business leadership and finance, the heads of HR and R&D, the leadership of the host country, regional finance, real estate, procurement and HR teams, the partner's own teams, and the local and global managers who will live with the result.

Backing earned at the top also has to be earned again. When events outside the programme's control paused our work for a period, significant financial commitments were already in place. The right response was to revalidate the case in full before restarting, rather than to assume the original approval still held. That discipline protected the programme's credibility, and it is a good habit for any long-horizon investment.

> *A mandate is not granted once. It is renewed each time conditions change.*

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## Protecting the business through the move

The transition is where most of the risk sits, and where the reputation of the programme is won or lost. Three kinds of risk have to be managed at once.

- **Business risk.** Live projects must not be disrupted. We built the plan around readiness gates with go and no-go decisions, defined fall-back options at each stage, and a move carried out in waves rather than all at once.
- **Physical risk.** Relocating and re-commissioning a very large hardware laboratory without losing project time is a programme in itself, and should be planned as one.
- **People risk.** Apprehension about a move is natural, and it was deepened in our case by wider uncertainty at the time. It has to be handled directly with teams and with their managers, throughout, and not left to communications material.

The outcome was a go-live with zero disruption to live projects, executed in difficult conditions. The lesson I would draw is that delivery protection is the strategy, not a constraint on it. The economic benefits of ownership followed because the transition left live work undisturbed. A programme that saves money but disrupts customers has not succeeded.

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# Building an institution that earns more work

A centre that is merely functional will be used for what it is given. A centre that is trusted will be given more. Four things build that trust.

### Governance

Statutory representation, audit readiness across client, statutory and data-privacy audits, and a continuity plan that is tested in practice rather than only documented. Ours was proven when the whole organisation had to work remotely at short notice.

### Talent and culture

A deliberate leadership pipeline, structured talent reviews with the global head of the function, and wellbeing designed in from the first day rather than added later. People who see a path stay, and the people they lead stay with them.

### Digital enablement

Practical platforms that make the centre more efficient than the model it replaced: hardware traceability that reduced spending on new equipment and improved availability, digitised approvals, and tracking of partner work with auditable records.

### The confidence of global teams

Global teams should experience the centre as seamless. They should see no difference in how projects, materials and people move, and they should gain a better sense of control and visibility than they had before. This is not a communications exercise. It is the product of defined processes, dedicated support and a willingness to take their input.

That confidence is what moves work. In our case it moved more work in than the original case had assumed.

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# Scaling the mandate

Demand outgrew the business case. Headcount grew far faster than planned, a second centre followed, more product lines moved in, and the charter widened from taking on transferred work to contributing to product and innovation aligned with global R&D priorities. Savings came in at 10 to 15% beyond the original business case, driven by the structure of the set-up and by the economics of insourcing.

Success of this kind creates its own problems, and it is worth planning for them. A plan that is deliberately conservative, as ours was for a first-of-its-kind move, will tend to be outgrown. In hindsight, the better course would have been to design for the upside from the beginning, with a larger facility, rather than going through an expansion phase that left two sites physically separate. The general principle is to build the case on the prudent scenario and the capacity on the plausible one.

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## Leading through influence

One of the less discussed features of a GCC leadership role is that the functions the centre depends on often report along separate lines: HR, finance, IT and procurement answer to their own functional heads, and so results come through influence rather than authority.

What worked was a clear shared outcome, regular rhythm, and visible results. Weekly governance reviews gave everyone the same picture. Where the leader owns some functions directly, such as facilities and logistics, those become the demonstration that the model works, and the leaders of the others are drawn in by seeing it.

A related point is that the senior leader of a GCC is also the principal interface between global headquarters and the local organisation. The role requires equal credibility in both directions.

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## Starting without an incumbent partner

The same decisions apply when there is no partner to move from. The questions of whether to own, where to locate, how to structure the entity, which functions to build first and how to phase the ramp are identical. The differences are that the risk of disrupting live work is replaced by the risk of building capability faster than the business can use it, and that the case should be built around a clear first mandate and a staged path to a wider one.

In both situations, the central discipline is the same: define the mandate narrowly enough to deliver quickly, and structure the centre broadly enough to grow.

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# Questions to ask before starting

### A SHORT CHECKLIST FOR LEADERSHIP TEAMS

- Does the cost of staying in the current model, in control, visibility, optionality and talent, now exceed the cost of owning the capability?
- Is the case built on the business roadmap rather than today’s workload?
- Who captures the value of each structural choice, and is that the intended outcome?
- Can the partner transition be designed so that the partner sees minimal change?
- Who must be convinced, and what is each person’s real concern?
- What are the readiness gates, and what is the fall-back at each?
- How will global teams experience the centre in its first month, and how will they experience it in its second year?
- Is the capacity plan built for the plausible case or only the prudent one?
- Who owns the centre’s identity as an employer?

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# Where I can help

I work with leadership teams at the points where this decision is made and executed:

- **Build-or-partner assessment.** Whether and how to own the capability, weighed against its cost and risk.
- **Set-up and transition design.** Structure, location, entity, leadership and, where relevant, partner exit.
- **Programme leadership.** Interim leadership through the transition, with executive alignment.

Organisations that already run a partner-run centre which has outgrown its original model are a particular focus. The question of whether, and how, to bring such a capability in-house without disrupting delivery is one I am glad to discuss.

**About the author.** Raghunandan Gopalan has spent three decades across engineering, R&D, PLM and supply chain, on both the services side and the client side. At Schneider Electric he led the move of a core engineering capability from a partner-run model to a captive Global Capability Center in India, and led the supply response that restored delivery of Process Automation products through the global component shortage. He advises leadership teams on GCC strategy and set-up, and on supply resilience.

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